in making his agency costs of free cash flow argument, cited two studies that had found the oil and gas industry had overinvested in exploration and development through the late 1970s and early 1980s. In the first study, the researchers examined 658 companies in the industry, finding that those announcing *increases* in exploration and development expenditures in the period from 1975 to 1981 saw systematic *decreases* in their stock price, and vice versa.[35] These results were striking because when industrial firms announced comparable *increases* in research and development expenditures their stocks enjoyed significant *positive* returns, and vice versa. A second study on the actual returns to exploration and development expenditures for the 30 largest oil companies found that on average the industry earned less than 10 percent before tax on their investments over the period from 1982 to 1984.[36] Jensen estimated that the net present value of future net cash flows of investments in the oil and gas industry at the time ranged from less than 60 cents on the dollar on the low side to as much as 90 cents on the dollar on the high side. It was capital misallocation on an industry-wide scale, but difficult for industry insiders to perceive, accustomed as they were to running on the reinvestment treadmill. The time was ripe for a Graham-style interloper—recall that Graham described rubbing shoulders with management as "self-help," and felt that an investor should be an outsider who confronted managements—to shake up the companies in the industry and point out the pervasive misallocation of capital. Pickens and Mesa stepped into that role, and made windfall profits as a result. It was a template that would eventually be replicated outside the oil and gas industry by other investors, many of whom were the forerunners to today's activist investors. While Pickens stood at the forefront of the takeover craze in the 1980s, he wasn't the first to recognize the value of using ersatz takeovers of overcapitalized companies as a means for catalyzing management to take shareholder friendly strides.

The Cigar Butt Berkshire Hathaway

In 1962, a fellow Grahamite value investor, Dan Cowin, alerted Buffett to a textile maker in New Bedford, Massachusetts, trading at one-third of its net current asset value of around \$22 million, or \$19.46 per share.[37] Buffett saw that he could either take it over and liquidate it, or sell his position back to the company when its then-president, Seabury Stanton, authorized one of its periodic buybacks. Stanton was in the habit of using extra cash not reinvested in the company's textile mills to self-tender for shares every couple of years. Buffett knew this, and reasoned he could buy ahead of Stanton's next tender offer, and resell to the company when it was announced.[38] His investment partnerships started accumulating shares of